



Auto Finance
Product Program
April, 2024

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Contents

A. INTRODUCTION	5
a) Product detail / Summary	5
b) Business Objective & Product Strategy	5
c) Strategic Alliances & Bulk Acquisitions	5
d) Corporate Deals & Bundle Packages	5
e) Portfolio at a glance (31 st Dec, 2023)	6
f) Industry Overview	6
g) Product Feasibility	7
h) Competitive Analysis.....	7
i) Product Suite.....	7
i. JS CarAamad	7
ii. JS Bike Financing.....	8
iii. JS Her – Auto Financing	8
j) Target Market	8
k) Related Parties:	9
l) Geographical Outreach.....	9
m) Sales / Solicitation Channels.....	9
n) Value Proposition.....	9
B. PRODUCT FEATURES	10
a) Applicable SBP PRs	10
b) Finance Amounts.....	10
c) Number of facilities	10
d) Finance Tenors.....	10
Tenor Enhancement.....	11
e) Loan to Value (LTV) / Equity	11
f) Security & Collateral	11
g) Co borrower	11
h) Pricing Strategies	12
i) Finance repayment.....	12
j) Insurances.....	12
k) Approval In Principle.....	13
l) Fees and Charges	13
C. ELIGIBILITY CRITERIA	13
a) Basic Eligibility.....	13
b) Segment wise customer Age:	13

c) Segment wise Employment / Activity / Business requirement.....	13
d) Minimum Income	14
Income Constituents.....	14
e) Income Treatments & documentation Requirement	14
f) Income Estimation.....	17
g) Credit Reports.....	17
h) Debt Burden	17
i) Credit Bureau History Checks.....	17
j) Default / Write-off Check.....	17
k) Politically Exposed Persons (PEP)	17
D. RISK ACCEPTANCE CRITERIA – Deviation Matrix	18
E. DEVIATIONS	18
F. PORTFOLIO CAP.....	19
G. SUPPORT DEPARTMENTS: BRIEF ROLES & RESPONSIBILITIES	19
Product	19
Sales / Distribution	19
Credit Initiation Unit (CIU).....	20
External Agency Management& Verification Unit	20
Fraud Risk Management Unit (FRMU)	20
Credit Administration Unit (CAD).....	21
Collection & Recovery (C&R) and SAM.....	21
Risk Operations.....	21
H. GENERAL.....	22

A. INTRODUCTION:

a) Product detail / Summary

The document below is the Product Program for JS Bank Auto Finance. This document covers business strategy, product strategy, channel strategy and credit policy for the JS Bank's Auto Finance.

JS Bank Auto Finance will have a combined menu of must-have attributes that are required for any basic auto Finance along with a unique mix of value propositions that will set our auto finance experience for the customer apart from competition.

JS Bank Auto Finance facility is an installment-based finance which will be extended to individuals for purchase of New/Used vehicle(s) etc. intended for personal use.

The vehicle would be registered in name of the borrower and hypothecated in favor of JS Bank against the financing. Finances would be extended for private cars (manufactured locally) as well as Light Commercial Vehicles for personal use only

b) Business Objective & Product Strategy

The Auto Finance business will increase the Bank's recall, respect and recognition, it will also enhance the Consumer Banking setup at JS Bank

It will work with the following core values:

- Be a Value Provider
- Innovation
- Empowering
- Ethical
- Green environment promotion through EV financing

c) Strategic Alliances & Bulk Acquisitions

Bank will enter strategic alliances/partnerships with service providers, FinTech companies, etc. for expanding the outreach for Bulk acquisitions.

To speed up bulk acquisitions with regards to Auto Finance, tailor-made product offering with customer selection criteria for strategic alliances including employee banking will be done.

d) Corporate Deals & Bundle Packages:

Sales Distribution team in consultation with Product teams will engage and structure Corporate and/or bundle packages either with Employee banking Relationships or other Bank relationships for overall business expansion

e) Portfolio at a glance (31st Dec, 2023)

(Rs in Bln's)

Channel Wise				
Channel	Cases	%	Vol	%
Branch Banking	1,492	76%	1.452	91%
Direct Sales	471	24%	0.142	9%
Total	1,963		1.594	

Region Wise				
Region	Cases	%	Vol	%
South	716	36%	0.579	36%
Central	810	41%	0.684	43%
North	437	22%	0.332	21%
Total	1,963		1.594	

Margin wise				
Margin	Cases	%	Vol	%
15-30%	1,348	69%	0.993	62%
31-40%	324	17%	0.315	20%
40-50%	188	10%	0.174	11%
50+	103	5%	0.112	7%
Total	1,963		1.594	

NPL Status

(Rs in 000's)

Product	Dec 2022		Dec 2023	
	Amt	NPL %	Amt	NPL %
Auto Finance	122,592	4.34%	98,521	6.17%

Year on Year, Portfolio has reduced industry wide in view of regulatory tightening by SBP, NPL ratio has thus showing increase in ratio despite reduction in NPL amount.

f) Industry Overview

Net portfolio movement during the year

(Rs in Bln's)

FY 2021	FY 2022	FY 2023
97.0	59.7	-

Portfolio & ENR

(Rs in Bln's)

Products	2021			2022			2023		
	O/s	NPL	NPL Ratio	O/s	NPL	NPL Ratio	O/s	NPL	NPL Ratio
Auto Finance	351.437	4.155	1.20%	332.569	4.516	1.40%	247.398	4.541	1.80%

SBP's macro-prudential measures restricted auto finance in September 2021 and later in May 2022, SBP had introduced several amendments to the Prudential Regulations (PRs) for consumer financing aiming to moderate the auto loans by increasing the down-payment requirement and reducing the maximum tenure of auto financing. Moreover, in May 2022, banks were required to obtain prior approval from the SBP at the time of opening L/Cs of 25 high value capital goods, including CKD cars. In addition, the automobile manufacturers raised car prices, owing to the increase in cost of production, which further pared the demand for vehicles. This is in line with 58.7 percent decline in car sales during FY23 over last year

g) Product Feasibility

Auto Finance is globally a low yield product thus needs scaling of volume for financial feasibility. NPLs and related provisioning also impacts the earnings significantly thus needs to be properly monitored and managed at early stages. In this regard, we adopted tiered mark-up rates or risk-based pricing according to the credit worthiness of individual borrowers and product profitability.

JS Bank auto finance portfolio is skewed towards Self-employed individuals in view of affordability in rising vehicle prices; hence, this remains a profitable & a prudently managed risk portfolio. Reduction in mark-up rates and aligning it to salaried segment will put a stress on our revenue streams.

h) Competitive Analysis.

All Scheduled banks have been into auto finance since 2004. Conventional Banks have major portion of portfolio compared to Islamic Banks but with more focus of Islamic Banks towards this secured lending facilitation they become market leaders in fresh solicitation.

Micro Finance Banks and few Fin Techs (NBFCs) have also entered the market with financing of 2, 3 and 4 wheeler vehicles.

Since clapping of regulatory tightening provisions, financing industry and overall automobile industry has seen drop in sales month on month and year on year since the allowable finance amount does not even cover 20-30% of vehicle values thus requiring high equity injection.

i) Product Suite

- i. JS CarAamad (Auto Finance)
 - a. JS Her CarAamad
- ii. JS Bike Financing
 - a. JS Her Bike Financing

i. JS CarAamad

JS Bank Auto Finance will have a combined menu of must-have attributes that are required for any basic auto Finance along with a unique mix of value propositions that will set our auto Finance experience for the customer apart from competition.

JS Bank Auto Finance facility is an installment-based finance which will be extended to individuals for purchase of New/Used vehicle(s) etc. intended for personal use. The vehicle would be registered in name of the borrower and hypothecated in favor of JS Bank against the financing. Finances would be extended for private cars (manufactured locally) and Light

Commercial Vehicles for personal use only.

JS Her CarAamad : Refer to JS Her Auto Financing Section Below

ii. JS Bike Financing

Bike Financing is motorcycle financing facility which is based on the conventional financing mode. It is ideal for individuals who want to get financing for acquiring a normal/electric motorcycle. Bike Financing works through a bike financing agreement, under which the Bank purchases the vehicle and finances it out to the customer for a period of 1 to 3 years, agreed at the time of the contract. Upon completion of the financing period, the vehicle will be transferred in the name of the customer

JS Her Bike Financing: Refer JS Her Auto Financing section below

iii. JS Her – Auto Financing

As a part of our Banking on Equality (BOE) initiative based on State Bank of Pakistan's broader initiative of financial inclusion and enablement, this variant scope of women centricity will provide extra benefits on top of discounted features to the existing relevant finance variant.

All channels will be advised to explain the benefits of facilities under this variant for which separate product category (ies) will be opened. Female customers will be allowed following relaxations based on customer profile (Income segment, Age, City, etc.)

- i. 40 - 60% discount in Processing fees
- ii. 50% discount in early termination charges
- iii. Free balloon payments allowed; up to 40% of the outstanding principle in a year

All features criteria's of mother product/variant will be available under this variant as applicable. Including coborrower. Co-borrowers under this product variant can only be secondary borrowers while female customer has to be primary borrower contributing equally or more to the repayment of finance.

Any relaxation over and above the above defined criteria will be allowed by Head of Products and Analytics.

All distribution channels will specifically assign certain %age of annual sales target to this product variant for contributing to Bank's overall women diversity and inclusion initiative.

j) Target Market:

Potential Auto Finance customers pertaining to Salaried and Non-Salaried segments from all Income and social segments. The segments are broadly characterized below:

1. Salaried

Salaried customers of all types of employers will be entertained

- i. Permanent

- a. Resident
- ii. Contractual
 - a. Resident
- iii. Government, Semi Government and Armed Forces
- iv. Employee banking/private banking
- v. JS Group staff
- vi. JS Bank staff

2. Self Employed

- i. Businesspersons
- ii. Professionals

b.

- i. Retired
- ii. Rental Income
- iii. Agri Income
- iv. Foreign Remittances
- v. Deposit, Certificates and Instruments
- vi. Etc.

k) Related Parties:

Transactions with all individuals defined as related party be relevant Prudential Regulation of SBP shall be at arm's length basis and on normal terms and conditions as applicable for other customers of the Bank in line with regulatory requirement. The Bank shall ensure that the appraisal standards are not compromised in such cases and market rates are used for such persons.

l) Geographical Outreach

The portfolio acquired through this program shall include properties in all areas where JSBL has branches, including rural and urban areas in all cities. Cases where collection & Recovery setup does not exist, Branch Banking will provide full support for the cases sourced & recommended by them.

m) Sales / Solicitation Channels

Auto Finance product may be sourced through all or any of following channels:

- 1. Distribution Teams of Retail Banking Group
- 2. Branch Network
- 3. Employee banking
- 4. Tele Sales
- 5. Digital Channels
- 6. Staff Get Member

n) Value Proposition

JS Bank Auto Financing is a trusted brand name in the market and since inception has remained an active player in the industry. It offers a whole range of both generic & unique features which

makes it a competitive product in the market. It progressed over the years with many new initiatives to cope with the emerging market needs and establish a top brand. Following are product features;

1. Co-borrower option for improved eligibility
2. Competitive pricing
3. High Equity contribution benefits
4. Low cost Insurance and Tracker arrangements
5. Fixed, Variable and Hybrid rate Options
6. Risk based pricing benefiting good credit histories
7. Early and partial payment options

B. PRODUCT FEATURES

a) Applicable SBP PRs

SBP's prudential Regulations (PRs) for Consumer Finance will apply, all SBP advice (amendments, additions, revisions, guidelines, and Schemes, etc.) issued from time to time will automatically become part of the relevant products' program & departmental SOP documents for adoption.

AML / CFT / CPF regulation will be followed, CDD of the customer shall be performed as per the Bank's AML/CFT/CPF & CDD Policy's

Any material changes to the product paper should be brought up to IRMC members for review and approval. Whereas any cosmetic changes related to reporting and information management be automatically approved and incorporated in the product program.

b) Finance Amounts

As per SBP PRs for Consumer Finance. However, as per internal credit & risk controls, product wise max finance amounts for all variants will be as follows:

Criteria	Product	Amount
Minimum	JS CarAamad	500,000
	JS Bike Financing	100,000
Maximum	JS Car Aamad	3 million
	JS Bike Financing	
	JS HER – Auto finance	

c) Number of facilities

Customer can avail multiple finances at a time subject to affordability and satisfactory credit history of existing facilities for at least 2 years with the Bank. Bank needs to ensure that facilities being used do not pertain to commercial activity of the borrower

d) Finance Tenors

Criteria	Product	Tenor (Months)
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Minimum	JS CarAamad above 1000cc	12
	JS CarAamad below 1000cc	
	JS Bike Financing	
Maximum	JS CarAamad above 1000cc	36
	JS CarAamad below 1000cc	60
	JS Bike Financing	

Tenor Enhancement

Every customer can avail finance up to maximum eligible tenor, he may in the interim opt shorter tenure but can avail remainder of the eligible tenor anytime in the future, total duration of finance should in no way exceed max tenure allowed under SBP PRs for Consumer Finance. Relaxation through extension of tenor under regular repayment conditions will not be considered as restructuring.

e) Loan to Value (LTV) / Equity

As per SBP's Auto Finance PRs: Up to 70%. However, as per internal credit & risk controls, segment wise LTVs for all variants will be as follows.

Segment		LTV CAPs *
Salaried		
	MNCs & LSMI	70:30
	Approved Cat "A & B"	
	Employee Banking	
	Government / Semi Govt	
	Armed Forces	
	JS Group Staff	
	JS Bank Staff	
	Other Private Companies & Cat "C"	60:40
Self Employed		
	Professionals	70:30
	Businesspersons	
Others		60:40

*As per market value in Appraiser Report(s)

BTF: 100% of the outstanding at transferee bank within above LTV

f) Security & Collateral
Prime Security

Vehicle being financed will be the collateral for the financing purpose and will be hypothecated and lien marked in banks favor on registration book.

Age of vehicle financed should not exceed 12 years on maturity of finance. Light Commercial Vehicles to be financed on a maximum tenor of 3 years. Only new LCVs to be financed

g) Co borrower

Customers are allowed to add co-borrower to the financing for the purpose of

1. Clubbing of Income(s)
2. Clubbing of Security/Collateral
3. Both

Blood Relations (except married sisters) and Spouse will be allowed as coborrowers for structuring the finance facility.

h) Pricing Strategies

Following pricing rate options may be used for offering pricing to customers:

➤ **Floating / Variable Rate:**

Variable rate will constitute of:

Base Rate (KIBOR) *plus* Bank's Margin (Risk based)

➤ **Fixed Rate:** 1-3 Year Rollover Rate (Fixed for 1-3 Years, Re-priced after end of every 1st or 3rd year, depending on fixed rate tenor).

➤ **Hybrid Rate** (Fixed for First 1-3 Years, moving to Floating rate post completion of 1-3rd year, and re-priced on each facility anniversary on floating rate from year 2-4 depending on fixed rate tenor.)

Floating / Variable rate will be based on KIBOR with options to choose between 6 Months and 1 Year base. This will continue till settlement/adjustment of finance facility.

For the purpose of mid-term fixed rate options, Bank can use facilitation options offered by PRMC and other lenders.

Risk based Pricing - Bank's margin structure will be applied and can be changed by GH – Retail / Head of Products based on feedback/suggestions from Business and Risk.

Rate breaks will be allowed as per applicable delegated authorities defined by CEO.

i) Finance repayment

This is a medium to long term finance facility whereby buy back price will be repaid by the customer through equal monthly installments (EMI). The installments may vary with repricing under variable / hybrid pricing options based on change in base rate i.e. KIBOR.

Customer can use any mode of repayment for making available funds in the non checking account before the due date

j) Insurances

Vehicle Insurance

Insurance of vehicle is a mandatory requirement prior to the delivery of collateralized vehicle to the borrower. The coverage provides protection against loss due to theft or damage to the collateral in the event of an accident. To ensure the validity of coverage throughout the Finance tenor, insurance facility is provided to the Customer by the Bank. The Bank acts as an agent

between the Insurance Company and the Borrower whereby premium payments are collected from the Customer for onward payment to the insurance company. Insurance by Customers will not be allowed without prior approval of the Head of Consumer Risk.

k) Approval In Principle

An “Approval In Principal (AIP)” may be conveyed to customers (earlier termed as Conditional Offer Letter for Auto Finance only) based on basic documents and information provided by the customer to assess his financing eligibility.

This intimation will be given after basic due diligence e.g. Verisys, e-CIB but before Verifications and FRMU checks to ensure competitive Turn Around Time (TAT) and cost savings on probable decline cases.

A standard conditional letter drafted and vetted by Legal and CAD will be issued to customers.

l) Fees and Charges

As per SOC for all the Product Type of Auto finance.

C. ELIGIBILITY CRITERIA:**a) Basic Eligibility:**

All customers must be Pakistani nationals with valid National Identity Card (CNIC/CNIC/NICOP).

Pakistan Origin Card (POC) holders may also be facilitated, subject to following:

1. Compliance of AML/CFT requirements;
2. Purpose of borrowing must be clear, legitimate and duly documented;
3. The loan shall be liquidated by the borrower through remittances from abroad in foreign exchange through normal banking channels or by debit to their repatriable PKR and foreign currency accounts which must be fed through foreign remittances;
4. Sale proceeds pf property, moveable or immovable, created from such lending shall not be eligible for repatriation, unless otherwise allowed by SBP through general or specific permission.

b) Segment wise customer Age:

Segment	Minimum	Maximum *
Salaried	21	Retirement Age**
Self Employed Professional (SEP)		70
Self Employed Businessperson (SEB)		65
Others		70
Co borrower		

*Age at the time of maturity

** Where retirement age confirmation is not available, it will be treated as 60

c) Segment wise Employment / Activity / Business requirement

Total experience required in each segment is as follows, this can be proven by customer

through any document:

Segment	Min period
Salaried*	
Permanent	6 Months
Contractual	1 Year
Self Employed Professional (SEP)	
Self Employed Businessperson (SEB)	

*However, for EB customers, MNCs, LSM employees and Armed Forces officers - this requirement will not apply.

* Third party contractual employment will require 2 years' overall experience.

d) Minimum Income

Segment wise monthly minimum income requirement is as follows:

Segment	Rupees
Salaried * (Gross Monthly Income)	
Permanent	50,000/-
Contractual	
Employee Banking	
Govt. Officers	
Forces Officers	
JS Group Staff	
Self Employed	
Professional (SEP)	75,000/-
Businessperson (SEB)	100,000/-
Others (Rental, Pension, etc.)	

Income Constituents

Income from all sources will be included, max income drawn from any source will determine customer segment for financing aspects applicability.

e) Income Treatments & documentation Requirement

Segment wise documentary requirement from the customers is as follows:

Customer Segment	Treatments	Documents
All Customers		1. Duly filled in Application form 2. Copy of CNIC/NICOP 3. 2 passport size photographs 4. Any current utility/telco bill (reflecting Home & Office addresses) – duly paid. 5. Dealer Quotation 6. SBP specified formats (<i>separately if not covered in Application form</i>)
Salaried	Source and quantum of	1. Any document confirming employment

	income will be determined through documentary evidence. For EB, MNC's, Govt officers and other high-end relationships these will be restricted. ➤ <u>Salary:</u> Monthly Gross ➤ <u>Commission:</u> Average of min 6 months ➤ <u>Bonus / LFA :</u> <u>Fixed Bonuses:</u> 100% to be considered. <u>Variable Bonuses:</u> 100% of the 2 years average to be considered Net Income will be considered for DBR calculation	e.g. Employment Letter, Increment Letter, Promotion letter, Office Card, etc. - Salary slip / Certificate 3 months Bank statements If the employment letter shows salary details, then salary slip/salary certificate is not required. 1 above not required for employees of: - Employee Banking - Government/ Semi Government departments - Armed Forces - MNCs & LSMs <u>Bonuses, LFA, Commission,</u> 6 months Bank statement for commission - Employer advice/letter for bonus/LFA or Bank statement(s) reflecting credits only. - Fixed bonus to be considered @100% and variable bonus 100% of the 2 years average to be considered.
Self Employed Professionals	This segment has potential for all 4 sources of income i.e. Salary, professional, business and others.	If salary income – above requisites, as applicable Professional income - Profession certificate - Professional Income payment proofs, if any. 6 Months Bank Statement Business Income – As per SEB requirements
Self Employed Businesspersons	Income will be determined based on any documentary proof or estimation through	Either of following: - Audited Accounts - Income Tax Return 12 Month Bank Statements

	proxy models like bank proxy & income estimation.	4. Business status proof 1. Sole proprietor – Sole Proprietor letter or Bank Letter 2. Partnership – Deed 3. Limited Company – Letter of Incorporation and Form 29 If the quantum of income from the above do not suffice then Income Estimation(s) is to be conducted through external service providers.
Others	Income will be determined on basis of any relevant documentary proof. Pension Income Pension income for the pensioner or successor will be used for evaluating eligibility Rental Income based on evidence of ownership of rented property(ies) and rental income proof Agri Income Where agree income from cultivation activity is considered, assessment through Agri Finance officer/team will be done internally. Remittances 6 months average remittance which is coming from immediate family members (Spouse, Children & Parents) of applicant	Pension Income 1. Proof of pension received. 2. 3 months Bank statements Rental Income 1. Any title document of property (ies) for which rental incomes is claimed 2. A rent agreement evidencing rental arrangement 3. 6 months Bank statement as a proof of net worth Agri Income 1. Agriculture Pass Book 2. Agri income proof Remittances 1. Evidence of remittances received Saving Certificates / Fixed Deposits Profit with JS Bank: 1. Copies of certificates 2. Bank statement for profit on deposits / Bank certificate of profit

	Saving Certificates / Fixed Deposits Profit with JS Bank: Consideration of 100% of profit on deposit (net of tax) through reflection in Bank Statement from last 1 year	
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f) Income Estimation

The concept of Income Estimation is to cover complete business volume i.e. both cash and bank-based transaction of the customer activity to gauge realistic business turnover estimates enabling better view of the size of business and cash flows. Where Income Estimation is done other requirements like Bank Statement, tax returns, etc will not be required.

g) Credit Reports

Bank will comply with SBP Auto Finance PRs requiring of arranging Credit Bureau reports, these can be obtained from any Credit Bureau licensed for the purpose by SBP. All valid facilities will be reviewed and considered for delinquencies and DBR calculation.

h) Debt Burden

Bank will comply with SBP Housing Finance PRs requiring NDI/DBR ratio of up to 40% or assessing customer affordability, repayment ability and capacity.

Bank may use a tightened criterion of applying lower DBR ratios based on credit history, customer segment, property locations, etc. These will be managed through an internal understanding of Risk, Product and Business departments and can be reviewed from time to time.

i) Credit Bureau History Checks

- I. Presently current in all products. Customer showing delinquent to be considered if payment deposit slip is provided.
- II. Not more than twice in 30 DPD in Last 12 months
- III. Not more than once in 60 DPD in Last 12 months
- IV. Never in 90 DPD in last 12 months.
- V. Up to PKR 10,000 amount in delinquency will be processed under normal criteria

j) Default / Write-off Check

Both time and amount materiality's will be considered while reviewing defaults and write offs. Cases with following scenarios will be treated as normal provided that they are current in their existing facilities:

- I. Any amount where default/write off is 5 or more than 5 years old
- II. Default / Write off or up to Rs. 15,000-between 3 to 5 years old.
- III. No clearance letter will be required for these 2 situations.

k) Politically Exposed Persons (PEP)

Product is subject to all applicable SBP & other regulator's guidelines/instructions including internal instructions/policies issued by bank from time to time

D. PORTFOLIO CAP

Auto Finance All Variants	Cap Thresholds
Non-Collection Cities	25% of total portfolio
Used	20% of total portfolio
Deviations/Exceptions	30% of total portfolio

E. SUPPORT DEPARTMENTS: BRIEF ROLES & RESPONSIBILITIES

Support departments roles, responsibilities and processes will be as per their respective manuals, brief of these are as follows:

Product

Department's primary role will be to structure, review and update the Product Program on the prescribed review period as well as in interim based on regulatory changes, market dynamics changes or strategical focus change. Product team is to enable business teams through marketing campaigns, sales incentivization and stakeholder's coordination's for efficient activity and turn around times while keeping in mind the P&L impacts.

Sales / Distribution

These represent the front end customer interacting and customer engaging teams, they are responsible to solicit sales by advising features & eligibility aspects of the finance product to the customer in light of policy guidelines, satisfy their queries and onboard them.

Following will be the main functions of this department,

- Initial Pre-screening: Evaluate customer according to Policy Criteria
- Provide tentative Sheets to the customer
- Completion of Application and related documents
- Customer coordination at each Stage
 - Signing of Application
 - Initial and Credit review
 - Execution of Legal Documentation
 - Disbursement
- Coordination with related stake holders for smooth processing of case

Sales Processing Unit (SPU)

Acts as a vital first checkpoint for various financial product applications, including financings,

credit cards. They analyze applications against established criteria such as basic customer eligibility, and document completeness before initiating cases on EuroNet/LOS (WRA). Their deep understanding of financial products and compliance regulations, coupled with expertise in the system, enables them to identify deficiencies early on. These are promptly communicated to sales channels through detailed reports and real-time notifications, ensuring swift resolution and complete applications. This proactive approach minimizes delays, enhances efficiency, and ultimately contributes to a smoother approval process for both customers and sales teams.

Credit Initiation Unit (CIU)

CIU is responsible for assessing the creditworthiness of consumer finance applications through qualitative and quantitative analyses. The unit ensures compliance with credit policies, both external (such as SBP consumer protection guidelines) and internal. The limit approver evaluates the applicant's ability to repay by scrutinizing income sources, verifies provided information and documents, reviews credit checks, and ensures the credit application aligns with established policies. Overall, the CIU plays a crucial role in making informed credit decisions to manage risk effectively.

While reviewing and approving the credit application, limit approver assesses the following:

1. Qualitative and Quantitative Analysis - This involves assessing various aspects, including the applicant's financial situation, credit history, and other relevant factors
2. Credit Decision Process - This involves considering the results of the analysis and determining whether the applicant meets the credit criteria
3. Assessment of Repayment Ability - This is crucial in determining whether the applicant has the financial means to meet the repayment obligations.
4. Document Verification - This step is essential for maintaining the integrity of the credit approval process.
5. Review of Credit Checks - This involves assessing the applicant's credit history and any other relevant financial information to gauge their creditworthiness.
6. Adherence to Credit Policies - This includes compliance with both external regulations, such as those set by the State Bank of Pakistan (SBP) for consumer protection, and internal policy parameters established by the lending institution.

External Agency Management & Verification Unit

Department is responsible for onboarding & managing all external service providers like, verifications, income estimations, valuations, legal support, etc. Services provided by external service providers are channeled through the EAMU/CIU for quality control while maintaining efficient TATs.

Fraud Risk Management Unit (FRMU)

Department's prime role is to evaluate fraud risk and take a decision. FRMU mainly deals in Prevention, Detection and Control of fraudulent losses. If no proper preventive or control measures are taken substantial fraud losses may occur to an extent that may undermine the profitability of the business.

FRMU - Vigilance

We are responsible for eyeballing and vigilance of cases and approvals given on LOS for progress, however in case investigation is required on any case the same is forwarded to FRMU for investigation.

Credit Administration Unit (CAD)

CAD is distributed into 2 departments:

- a) CAD – Documentation
- b) CAD – Operations

CAD - Documentation

Department's prime role is to evaluate Collateral risk, security perfection, monitoring and legal documentation. After credit approval, CIU sends the file to CAD for processing of charge documents. Documentation team scrutinizes the application for completeness and required documents. If everything is in order, Documentation Officer prepares Facility Offer Letter and Charge documents for customer signatures. It also issues Disbursement Authorization Certificate (DAC) and sends to CAD Operations.

CAD – Operations

Department's prime role is to disburse a finance facility, handle all post disbursements, operations of the facility till maturity/settlement, settlement and release of collateral, etc after reviewing DAC except GOLD financing and Consumer finances. Also circulates overdue reporting product wise / markup claim submission of markup sharing products to SBP/ Loss claim submission to SBP, Refinance loans disbursement and monitoring.

CAD – MIS & Limit Implementation

Unit's prime role is managing all External / Internal Reports (excl. Consumer & Credit Cards) which mainly includes pan Bank eCIB Reporting, NPL report, Overdue Report(PAN Pakistan) and Portfolio Management. The Unit also responsible to input the limit in the system upon receipt of DAC from CAD – Documentation, & proceeds with disbursement of facility.

Collection & Recovery (C&R) and SAM

Collection Unit: Department's prime responsibility will commence from the time an account becomes delinquent or is routed in the collection's queue, until it is regularized by means of payment or closed with full payment of the outstanding amount and the goal of the Collection department is to obtain payments promptly, while minimizing collection's expense and write-off costs, as well as maintaining the customer's goodwill by a high standard of service.

Recovery Unit: Department's prime responsibility is to minimize JS Bank's losses. Recovery can initiate litigation against defaulted customers and subsequent follow-up of the court proceedings. For Skip accounts, they will focus on tracing the customer and try to bring him on the negotiation table for settlement

SAM department: will be engaged by C&R teams in respective cities for providing support on recoveries of all cases

Risk Operations

Department will engage and monitor repossession agents for recovery of vehicles in overdues and process auction of the vehicle as per process defined in their manual.

F. GENERAL

1. Product will design marketing collateral and run marketing campaigns to support sales/distribution teams achieve their targets. Marketing department will be engaged for all marketing related activities.
2. All risk aspects will be viewed as per Bank's strategic view, Internal risk policies & approach and will be approved by GH – Retail & CRO jointly for implementation.
3. All interim amendments will be incorporated in the relevant Product Program under the scheduled review process. The Product Program will be implemented through adoption/amendment of respective department's SOP / process manuals.
4. SLA will be structured and supervised by Customer Experience department in consultation with respective department and consultation of Product team for ensuring efficient turn around time (TAT) resulting in improved customer experience.
5. Changes & Additions / Deletions to internally managed features and eligibility thresholds will be done with mutual understanding of Product, Business, Consumer Risk and CIU while case to case approvals beyond the applicable thresholds will require respective business head recommendation and 1 level up review at CIU/Risk and approval max up to the level of CRO.